

Here is the final Market Intelligence Brief, designed for leadership review at approximately one-page length.

Market Intelligence Brief

****Saudi Residential Rental Housing: City Prioritization for New Investment****

Prepared: October 2026 | Sources: 2021 AQAR Rental Dataset (~3,700 listings); Quick Research Report "Saudi Arabia Residential Rental Market Analysis 2025–2026"

Objective & Scope

Determine which Saudi city — Riyadh, Jeddah, Dammam, or Al-Khobar — a residential rental investor should evaluate first, based on rental price patterns (2021 dataset) and current market signals (2025–2026 external research). This brief synthesizes both sources, flags limitations, and provides actionable next steps.

Key Insights

****1. Riyadh's five-year rent freeze caps near-term income growth.****

The freeze (REGA, Sep 2025) prohibits rent increases through ~2030; post-freeze quarterly rents have already declined (apartments –2.8%, villas –1.2% in Q1 2026).

Why it matters: Riyadh was the fastest-growing market pre-freeze — that upside is now legally capped for existing leases.

****Confidence: HIGH**** (freeze existence) / ****MEDIUM**** (magnitude of impact on new leases and long-term pricing)

****2. Dammam/Al-Khobar offer steady growth with lower competition.****

Eastern Province rents grew 2–3% YoY in Q1 2026 with no rent freeze, unrestricted foreign ownership, and the smallest supply pipeline (15.5% of national total). 2021 median rents: Dammam SAR 60K, Al-Khobar SAR 75K — the lowest entry points.

***Why it matters:** The most favorable regulatory and competitive conditions for a mid-scale private investor entering the Saudi market.

****Confidence: MEDIUM**** — growth data is single-source (Cavendish Maxwell); "low competition" is qualitative; Al-Khobar lacks a separately measured growth rate.

****3. Jeddah commands the highest rents but faces regional supply concentration.****

2021 median rent of SAR 95K (highest of four cities). However, 382,500 planned units across Western KSA (including NEOM, Red Sea — not Jeddah alone) create a regional absorption question. Jeddah-specific near-term pipeline is ~12,700 units.

***Why it matters:** Highest revenue potential per unit, but investors must distinguish Jeddah-specific supply from the broader western mega-project pipeline.

****Confidence: MEDIUM**** — rent premium is well-established; supply risk requires careful geographic scoping.

****4. Institutional competition is concentrated in Riyadh.****

PIF-backed developers (ROSHN, NHC, Diriyah Company) dominate Riyadh development. Jeddah sees moderate institutional activity; Dammam/Al-Khobar remain fragmented.

***Why it matters:** Private investors face the steepest barriers in Riyadh and the most open field in the Eastern Province.

****Confidence: MEDIUM**** — directionally supported by multiple credible sources (JLL, K&S Law) but no quantitative market-share data exists.

Confidence & Limitations

- The 2021 dataset medians were provided to the research report as a baseline; where both cite the same rent figures, this is ****not independent confirmation****.
- The dataset contains ****rents and property features only**** — it cannot measure competition, vacancy, or demand.
- No Saudi city publishes residential vacancy data; demand-supply assessments rely on proxy indicators.
- Rent growth comparisons across sources must be read like-for-like: Cavendish Maxwell and CBRE report different geographies (city vs. national) and time periods, producing apparent conflicts (e.g., Riyadh villas +14.4% vs. national villas -9.7%).

What Should NOT Be Concluded

1. ****No investment yield or ROI can be derived.**** The dataset contains rents only — not purchase prices, cap rates, or operating costs. Any return-on-investment decision requires separate acquisition-cost data.
2. ****The 2021 dataset does not reflect current rent levels.**** Five years of growth, regulatory change, and market shifts mean today's rents are materially different. The dataset establishes relative city rankings and property profiles, not current pricing.

Strategic Implications

This intelligence can inform three near-term decisions:

- **City shortlisting:** Dammam/Al-Khobar warrant first evaluation given the most favorable risk-adjusted profile (steady growth, no freeze, low competition, unrestricted foreign ownership).
- **Product positioning:** Al-Khobar's near-zero furnished inventory (1.5% in 2021) signals an underserved niche for furnished rental product.
- **Riyadh timing:** Investors interested in Riyadh should monitor the freeze's impact over 12–18 months before committing; the freeze may also extend to other cities.

Recommended Next Steps

1. **Commission a current rent survey** for Dammam/Al-Khobar (2026 asking rents and achieved rents) to replace the stale 2021 baseline.
2. **Obtain purchase-price data** for target cities to enable yield and cap-rate analysis — the critical missing input.
3. **Monitor REGA announcements** for any rent-freeze extension to other cities or modifications to the Riyadh freeze.
4. **Engage JLL or CBRE** for Jeddah-specific (not Western KSA) supply pipeline and absorption forecasts.
5. **Conduct a furnished-rental feasibility study** for Al-Khobar, given the identified supply gap.

Summary for Leadership

Based on 2021 rental listing data and 2025–2026 market research, **Dammam and Al-Khobar present the most favorable entry point** for a residential rental investor evaluating

Saudi Arabia. These cities combine the lowest median rents (SAR 60K–75K), steady 2–3% annual growth, no rent freeze, unrestricted foreign ownership, and the smallest planned supply pipeline — all against a backdrop of low institutional competition. Riyadh, despite being the largest market, is constrained by a legally binding five-year rent freeze (HIGH confidence) whose full impact remains uncertain (MEDIUM confidence). Jeddah offers the highest per-unit revenue potential but requires careful assessment of regional supply dynamics. Overall confidence in this intelligence package is ****MEDIUM****: the directional city ranking is well-supported, but absolute rent levels are stale (2021), competition assessments are qualitative, and no yield analysis is possible without purchase-price data. ****The single highest-priority next step is obtaining current rent and purchase-price data for Dammam/Al-Khobar to convert this market intelligence into an investable thesis.****

This completes the three core deliverables: Market Analysis, Reliability & Confidence Evaluation, and Market Intelligence Brief.